CHARTERED ACCOUNTANTS ACADEMY

AUDITING DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 4 – COMPANIES AND OTHER BUSINESS ENTITIES ACT

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1. Introduction

As a future accountant and auditor, it is of the utmost importance that you have a sound knowledge of the legal environment that you will be operating in. Your knowledge of the Companies and other business entities Act ("COBE") will therefore be enhanced and tested in the following study unit.

2. Objective of the COBE

- Identifying and evaluating the requirements of the COBE in detailed technical examples.
- Evaluating and advising on compliance with the COBE requirements.
- Providing appropriate recommendations for compliance with the COBE.
- The above discussions, evaluation and application should be made on, amongst others, the following concepts and areas:
  Administration of the Act, provisions common to companies and private business corporations, incorporation of companies and matters incidental thereto, private business corporation and other business entities, electronic registry, loans, shares, payments to shareholders and debentures, auditors, offer of shares and prospectus, meetings and minutes directors, financial records, annual financial statements and group statements.

3. Scope

Companies and Other Businesses Entities Act (Chapter 24:31) with main focus on financial reporting, auditing, governance and specific transactions.

4. Study Material and Relevant ISAs

- Companies and Other Businesses Entities Act (Chapter 24:31) as found in the ICAZ Legislation handbook

Lecturer's Comment - we recommend that you study the COBE directly from the ICAZ Legislation Handbook as this is a book you will be able to take in with you when sitting for a test or exam as per the open book policy.

5. Competence Framework expectation

APPENDIX 1 KNOWLEDGE REFERENCE LIST: COMPANIES ACT		
Companies and Other Business Entities Act Chapter 24:31		Knowledge level
Section	Topic	
	Part I Preliminary	
1	Short Title	1
2	Interpretation	To be read in conjunction with relevant sections
3	When persons deemed to be associates and when persons deemed to control companies	1
4	Non-Application of Act to certain Institutions	1
5	Registrable business entities	1

	Part II Administration	
6	Office for the Registration of Companies and Other Business Entities; Registrar, registries and inspectorate.	2
7	Funds of Companies Office	1
8	Annual and other reports of Companies Office.	2
9	Form of registers and other documents.	1
10	Forms and tables and application of certain Schedules and licences	1
11	Registrar's power to refuse registration	1
12	Extension of time for lodging returns, etc.	1
13	Proof of certain facts by affidavit.	1
14	Inspection and copies of documents in Companies Office and production of documents in evidence.	1
15	Additional copies of returns or documents	1
16	Replacement of lost documents.	1
17	Exemption from liability for acts or omissions of Companies Office and persons employed therein.	1
	CHAPTER II - Provisions Common to Companies and Private Business Corporations	
	PART I - General	
18	Registration of constitutive documents	1
19	Incorporation of companies and private business corporations and capacity and powers thereof	2
20	Effect of registration of constitutive documents and limitation of liability of members of companies and private business corporations.	2
21	Availability and publicity of constitutive documents.	1
22	No constructive notice of constitutive documents or other public documents.	1
23	Copies of constitutive documents to embody alterations	1
24	Presumption of regularity; liability not affected by fraud.	1
25	Prohibition of undesirable name	1
26	Change of name	1
27	Statement of objects of registered business entity and effect thereof.	1
28	Provisions in connection with use of names by registered business entities	1
29	Lawful use of assumed names by registered business entities	1
30	Publication of directors' or members' names	2
31	Postal address, electronic mail address and registered office	2
32	Ratification of contracts	1
33	Form of contracts	1
34	Promissory notes and bills of exchange	2
35	Execution of documents domestically and in foreign countries	1
36	Official seal for use in foreign countries	1

37	Authentication of documents	1
	PART II - Inspection and Investigation	
38	Purposes of inspections and investigations and powers in connection therewith	2
39	Investigation by Registrar	2
40	Investigation on request of minority shareholders	3
41	Investigation to determine ownership or control	2
42	Investigation of registered business entity's affairs in other cases	1
43	Power of inspectors to investigate related registered or unregistered business entities	2
44	Production of records and evidence on investigation	2
45	Registrar's report	2
46	Proceedings on Registrar's report	1
47	Expenses of investigation of affairs of registered business entity	2
48	Power to require information as to holders of shares, debentures or interests	2
49	Power to impose restrictions on shares, debentures or interests	3
50	Saving for legal practitioners and bankers	1
51	Report following investigation to be evidence	1
	PART III - Defunct Business Entities	
52 - 53	Defunct Business Entities	1
	PART IV - Common Provisions Relating to Fiduciary Duties, Remedies and Legal Proceedings	
54 - 55	Subpart A: Duties of office bearers of companies and private business corporation	3
56 - 58	Subpart B: Duty of loyalty – conflicts of interest	3
59 - 65	Subpart C: Other legal proceedings and remedies	3
66	Subpart D: Indemnification and insurance	2
	PART V - Offences and Defaults Common to Registered Business Entities	
67 - 74	Offences and Defaults Common to Registered Business Entities	3
Companies and Other Business Entities Act Chapter 24:31		**Knowledge level**
Section	CHAPTER III - Companies	
	PART I - Introduction	
75 - 82	Sub-Part A: Incorporation of companies and matters incidental thereto	3
83 - 84	Sub-Part B: Membership of company	3
85 - 86	Sub-Part C: Private companies	3
87 - 94	Sub-Part D: Co-operative companies	2
	PART II - Share Capital and Debentures	
95 - 102	Sub-Part A: General nature of share capital of companies	3
103 - 114	Sub-Part B: Prospectus	2
115 - 121	Sub-Part C: Allotment	1
122 - 123	Sub-Part D: Commissions and discounts	1

124 - 134	Sub-Part E: Issue of shares at premium or discount and redeemable preference shares	3
135 - 143	Sub-Part F: Miscellaneous provisions as to share capital	3
144 - 149	Sub-Part G: Reduction of share capital	3
150 - 157	Sub-Part H: Transfer of shares and debentures, evidence of titles, etc.	2
	PART III - Management and Administration of Companies	
158 - 164	Sub-Part A: Restrictions on commencement of business and register and index of members	1
165 - 181	Sub-Part B: Annual return and meetings and proceedings	3
182 - 194	Sub-Part C: Accounts and audit	3
195 - 217	Sub-Part D: Directors and other officers	3
218 - 221	Sub-Part E: Responsibilities of boards, audit committees of public company and corporate governance guidelines for public companies	3
222 - 225	Sub-Part F: Protection of minority shareholders	3
226 - 233	Sub-Part G: Mergers etc.	3
234 - 239	Sub-Part H: Takeovers	3
	PART IV - Foreign Companies	
240 - 246	Foreign Companies	2
	CHAPTER IV - Private Business Corporation and other Business Entities	
247 - 304	Private Business Corporation and other Business Entities	1
	SCHEDULES	
1st	Form of Memorandum of Association of a Company	
2nd	Form of Statement in Lieu of Prospectus to be Delivered to Registrar by Private Company on Ceasing to be Private Company and Reports to be Set Out Therein.	1
3rd	Form of Statement in Lieu of Prospectus to be Delivered to Registrar by a Company Which Does Not Issue Prospectus or Which Does Not Go to Allotment on a Prospectus Issued, and Reports to be Set Out Therein	1
4th	Form of Annual Return of Company	1
5th	Fees	1
6th	Model Articles and By-laws	1
7th	User Agreement	1
8th	Matters to be Specified in Prospectus and Reports to be Set Out Therein	1
9th	Penalties for Late Submissions of Documents or Notices	1

10th	Form for Re-registration of Companies and PBCs	1

6. Examination possibilities

- Highly examined in a question that provides a scenario and requires that the legality of any transactions/schemes that were implemented be evaluated.
- Advice regarding alternatives and or further requirements that have to be met may also be required.
- A question setting out certain transactions/schemes that are contemplated or were implemented and requiring the audit procedures that should be performed to obtain sufficient appropriate audit evidence on them to be described.
- We suggest that you approach questions as follows:

Questions that require advice on or the evaluation of a given situation:

- Identify all transactions/events
- Determine which requirements of the relevant section relate to each transaction/event
- These requirements may relate to:
    - Powers of the entity (memorandum, sections of the Act)
    - Specific authorisation required (e.g. special resolution, ordinary resolution)
    - Special preconditions (assets exceed liabilities)
- Reproduce theory applicable to each transaction/event
- Apply theory to facts given in question
- Conclude on legality of each transaction/event
- Make recommendations or discuss alternatives (if required by the question)

NB: Students should pay attention to the wording of the required. If asked about concerns, you must only discuss non-compliance. The best way to address a concern is to start a sentence by stating – it is of concern that…, some questions require discussion of both compliance and non-compliance, and your answers should not be limited to non-compliance.

Normally only substantive procedures will be possible since transactions affected by specific legal requirements usually occur sporadically and no/limited internal controls will be present to mitigate the risks related to them.

- Identify all transactions/events.
- Determine which requirements of the Act relate to each transaction/event
- Visualize and note the accounting journal entry underlying each transaction described in the question
- Identify source(s) of audit evidence
- Develop audit procedures, using the following audit assertions
    - occurrence (power, authorisation, special requirements)

- accuracy (amount/calculation; all aspects of each transaction)
- completeness (all transactions)
- cut-off (correct period)
- classification (as current asset/liability, non-current asset/liability or income/expense)
- disclosure (based on Statements of IFRS)

Remember that the purpose of performing audit procedures is to obtain sufficient appropriate audit evidence that the financial statements are fairly presented. Possible sources of evidence include:

- memorandum of incorporation
- notices of meetings
- minutes (always be specific as to those of directors' meetings or members' meetings)
- statutory registers

7. Assumed Knowledge

The audit process is assumed knowledge which you should already have at CTA level.

8. Integration

This topic can be integrated with Financial accounting and reporting transactions, management accounting and finance transactions and Taxation transactions.

9. Course Notes

9.1. Overview of the COBE

From your previous studies you may have been familiar with the Companies Act (Chapter 24:03). November 15, 2019 saw the gazetting of the COBE Act Chapter 24:31. The COBE Act repeals the Companies Act. COBE embraces world trends and adopts aspects of corporate governance. COBE makes provision for information, technology and communication as Zimbabwe will see electronic transactions such as electronic filing.

9.1.2. New provisions include:

- Electronic registry of Companies – which will permit the digitization of the company registry and the eventual establishment of an electronic companies' registry in Zimbabwe supplementing the paper-based one, thereby, greatly expediting and facilitating company registry administration.
- There will be access to the electronic registry for the purpose of information gathering which is subject to certain safeguards against fraud, violations of privacy and other abuses.
- COBE consolidating the Companies Act and Private Business Corporations' Act (Chapter 24:11), placing all options for companies in one place and will ensure access

to the registrar of companies to more Zimbabweans as more registries are opened in other parts of Zimbabwe.

- While the Companies Act makes provision for inspections, COBE introduces the establishment of an inspectorate with revised powers. The revised powers of investigation and inspection of companies and other business entities is aimed at promoting good corporate governance and inspire investor confidence.
- COBE sees the substitution of criminal penalties with civil penalties. The majority of offences under the Companies Act were of a minor character involving only minor offences of default fines. The infringements concerned are in the nature of administrative breaches and not criminal in themselves. The removal of the criminal aspect avoids ascribing that criminal stigma to people who commit minor offences which are proposed to be dealt with by way of civil penalties which the Registrar levies.
- Directors of companies and managers of private business corporations as office bearers have expanded duties of care and loyalty. Included in COBE are provisions which are fiduciary duties, remedies and legal procedures which are common to directors and managers
- A specific statement as to the board's role and responsibilities is included and the law of companies and business entities in Zimbabwe sees the introduction of the mandatory requirement for an audit committee for every public company. A strong emphasis on independence is underlined.
- The new provisions adopt international corporate governance best practice, included are specific corporate governance guidelines for public companies. These provisions usher in a culture of transparency and accountability.
- COBE contains new and detailed procedures for mergers and takeovers with protection of minority shareholders in line with the Tariff and Competition Act (Chapter 14:20). The procedure includes an independent fairness opinion and sees the introduction of dissenting shareholder appraisal rights similar to those in the South African Companies Act. This inclusion increases investor confidence and may improve Zimbabwe country ratings with the World Bank.

9.1.3. Key areas of focus:

The relevant sections of the COBE must be reviewed and highlighted for application in a CTA question. There is significant practice of this in the tutorial questions provided. It is highly recommended that you review the ICAZ Competency Framework for the level of knowledge required for each section of the Act.

Companies and Other Business Entities Act Chapter 24:31

Below is a summary of some of the key sections from the companies' act, however students should use the ITC competency framework to revise the companies act.

Section	Summary
Sec 3 - When persons deemed to be associates and when persons deemed to control companies	• Where a person, other than an employee, acts in accordance with the directions, requests, suggestions or wishes of another person, both persons shall be treated as associates of each other. Sec 3 (3) a-h defines an associate, examples of an associate include a near relative, a partner and a partnership in which the person is a partner. • Sec 3 (4a and b) – defines persons controlling a company. A person shall be deemed to control a company if the person, either alone or together with one or more associates or nominees— ▪ controls the majority of the voting rights attaching to all classes of shares in the company or ▪ has any direct or indirect influence that, if exercised, results in him or her or his or her associates or nominees factually controlling the company.
Sec 4 - Non-application of Act to certain institutions	The COBE is not applicable to banking institutions, building societies, insurers, micro-finance institutions, co-operative society, trade unions or employers' organisations or other entities whose formation registration and management are governed by any other enactment.
Sec 5 - Registrable business entities	The following types of business entities are registrable under this Act— (a) a public limited company (b) a private limited company (c) a company limited by guarantee (d) a co-operative company (e) a foreign company (f) a private business corporation (g) subject to section 278 "Voluntary registration of partnership agreements", partnerships, syndicates, joint ventures and certain associations of persons.
Sec 18 - Registration of constitutive documents	The registration of a memorandum and articles of association or an incorporation statement may be done either electronically or manually in accordance with this section On registering the memorandum of association or the incorporation statement, the Registrar shall— (a) assign a registered number to the company or the private business corporation; and

	(b) return one copy of the memorandum of association or the incorporation statement to the applicant and (c) issue a certificate of incorporation. The certificate of incorporation or a copy thereof issued shall be conclusive evidence that all the requirements of the COBE in respect of registration and of matters precedent and incidental thereto have been complied with and that the company or private business corporation is duly incorporated under the COBE.
Sec 32 - Ratification of contracts	A contract made in writing by a person claiming to act as an agent or trustee for a company or private business corporation not yet formed, incorporated or registered shall be capable of being ratified or adopted by or otherwise made binding upon and enforceable by the company or private business corporation after it has become a registered business entity, if— (a) on registration, the entity's constitutive documents contain as one of the entity's objects the adoption or ratification of or the acquisition of rights and obligations in respect of such contract; and (b) the contract or a certified copy thereof is delivered to the Registrar simultaneously with the delivery of the entity's constitutive documents in terms of section 18 ("Registration of constitutive documents").
Sec 54 - Duty of care and business judgment rule	Every manager of a private business corporation and every director or officer of a company has a duty to perform in good faith, in the best interest of the company, and with the care, skill, and attention that a diligent businessperson would exercise in the same circumstances. In performing that duty, the manager, officer or director may rely on information, financial statements, opinions, reports of independent auditors or legal practitioners or of experts or employees of the registered business entity whom the person reasonably believes are reliable and competent to issue such information, opinions, reports or statements. A person who makes a business judgment fulfils with respect to that judgment if that person— (a) does not have a personal interest as defined in section 56 ("Transactions involving conflict of interest") in the subject of the judgment; and (b) is fully informed on the subject to the extent appropriate under the circumstances; and (c) honestly believes when the judgment is made that it is in the best interests of the company or corporation.

	No provision, whether contained in a company's articles or a private business corporation's by-law shall relieve a director from the duty to act in accordance with the duty of care and business judgment rule or relieve him or her from any liability incurred as a result of any breach of such duty.
Sec 55 - Duty of loyalty	A manager or controlling member of a private business corporation, a director, officer or controlling member of a company has a duty to act with loyalty to that registered business entity and, in the case of a company, towards any subsidiary of that company. Section 55 (3a-i) outlines examples of the duty of loyalty for example • not to use property of the registered business entity for personal benefit or for the benefit another person other than the entity • not to disclose confidential information of the entity or to use confidential information of the entity personal benefit or for the benefit another person other than the entity. • not to abuse the person's position in the registered business entity for personal benefit, or for the benefit another person other than the entity.
Sec 56 - Transactions involving conflict of interest	A person is deemed to have a personal financial interest in a transaction with the registered business if– (a) that person or a near relative or other associate of that person is a party to the transaction or has a material financial interest in the transaction or (b) that person has a financial or family member relationship with a party to the transaction, or with a person who has a material financial interest in the transaction, that could reasonably be expected to affect that person's judgment adversely to the registered business entity. A director may disclose any personal financial interest in advance, by delivering to the board, or shareholders a notice in writing setting out the nature and extent of that interest.
Sec 57 - Duty to disclose conflict of interest	If a person has a personal financial interest or knows that an associate has a personal financial interest in the matter to be considered at a meeting of the board of the company or meeting of the members of the private business corporation the person shall follow steps (a-g) outlined in Section 57.
Sec 60 - Direct actions by members	A member of a private business corporation or a company may bring an action in court in such person's own name against any

	manager, officer or director to enforce, or recover damages caused to him or her by violation of a duty incumbent upon any such manager, officer or director under the COBE or any other law including laws against fraud or misappropriation.
Sec 68 - Fraudulent, reckless or grossly negligent conduct of business	If it appears to a court that any business of a company or private business corporation was or is being carried on recklessly or with gross negligence or with intent to defraud any person or for any fraudulent purpose the court may declare that — (a) any of the past or present directors of the company or any other persons who were knowingly parties to the carrying on of the business in such manner or in such circumstances; or (b) person who was knowingly a party to the carrying on of business of the private business corporation in such manner or in such circumstances shall be personally responsible, without limitation of liability, for all or any of the debts or other liabilities of the company or private business corporation as the court may direct, and the court may give such further orders as it considers proper for the purpose of giving effect to the declaration and enforcing the liability.
Sec 71 - Unlawful personation and misrepresentation in relation to shares and interests	If any person falsely and deceitfully personates any owner of any share or interest in any company or of any interest in a private business corporation and thereby obtains or endeavors to obtain any such share or interest or receives or endeavors to receive any money due to any such owner as if the impersonator were the true and lawful owner, he or she shall be guilty of an offence and liable to a fine not exceeding level 12 or to imprisonment for a period not exceeding five years or to both such fine and such imprisonment.
Sec 74 - Indemnity and civil and criminal liability of officers and auditors of companies	Subject to the articles of the company or by-laws of the private business corporation, or in any contract with a company, every director, managing director, agent, auditor, secretary and other officer for the time being shall be entitled to an indemnity from the company for payments made and personal liabilities incurred by him or her— (a) in the ordinary and proper conduct of the affairs of the company or private business corporation; and (b) in or about anything necessarily done for the preservation of the undertaking or property of the company or private business corporation

Sec 75 - Prohibition of association or partnership exceeding twenty persons	No company, association, syndicate or partnership consisting of more than twenty persons shall be formed in Zimbabwe for the purpose of carrying on any business that has for its object the acquisition of gain by the company, association, syndicate or partnership, or by the individual members thereof, unless it is registered as a company under or as a private business corporation or is formed in pursuance of some other law.
Sec 77 - Memorandum of company	1. In the case of a company limited by shares the memorandum shall be in the English language, or subject in an officially recognized language and must state the name of the company which shall, unless a licence has been granted have "Limited" as the last word and shall also have included therein— (a) in the case of a private company, the term "(Private)" (b) in the case of a co-operative company, the word "Co-operative" or the abbreviation "Co-op"
Sec 83 - Membership of company; personal liability where business carried on with no members	If a company has no members and carries on business for more than six months without members, any person who knowingly causes it to carry on business shall be liable, jointly and severally with the company, for all debts incurred by it after the six months have elapsed.
Sec 84 - Membership of holding company	A body corporate cannot be a member of a company that is its holding company, and any allotment or transfer of shares in a company to its subsidiary is void.
Sec 85 - Definition of private company and consequences of default in complying with conditions for private company	In the COBE, "private company" means a company other than a co-operative company, which by its articles— (a) restricts the right to transfer its shares; and (b) limits the number of its members to fifty (c) prohibits any invitation to the public to subscribe for any shares or debentures of the company. • Where two or more persons hold one or more shares in a company jointly they shall, for the purposes of this section, be treated as a single member. • With the sanction of a special resolution and subject to confirmation by the High Court, a public company may convert itself into a private company.
Sec 95 - Legal nature of shares and requirement to have shareholders	1. A share issued by a company is movable property and transferable in any manner provided for by the articles of the company or recognized by the COBE or any other law. 2. A share does not have a nominal or par value. 3. A company may not issue shares to itself. 4. An authorised share of a company has no rights associated with it until it has been issued.

Sec 96 - Authorisation for shares	1. A company's memorandum— a. must set out the classes of shares, and b. the number of shares of each class that the company is authorised to issue; and c. must set out, with respect to each class of shares— i. a distinguishing designation for that class; and ii. the preferences, rights, limitations and other terms associated with that class and d. may authorise a stated number of unclassified shares, which are subject to classification by the board of directors. e. may set out a class of shares— i. without specifying the associated preferences, rights, limitations or other terms of that class; or ii. for which the board of directors must determine the associated preferences, rights, limitations or other terms; or iii. which must not be issued until the board directors has determined the associated preferences, rights, limitations or other terms.
Sec 97 - Preferences, rights, limitations and other share terms	1. All of the shares of any particular class authorised by a company have preferences, rights, limitations and other terms that are identical to those of other shares of the same class, except to the extent that the company's memorandum provides otherwise 2. Each issued share of a company, regardless of its class, has associated with it one general voting right, except to the extent provided otherwise by the COBE or the preferences, rights, limitations and other terms determined by or in terms of the company's memorandum. 3. Despite anything to the contrary in a company's memorandum— a. every share issued by that company has associated with it an irrevocable right of the shareholder to vote on any proposal to amend the preferences, rights, limitations and other terms associated with that share; and b. a company must always have ordinary shares and in addition to any class of share as may be prescribed in the company's constitutive documents.
Sec 98 - Issuing shares	1. The board of directors may resolve to issue shares of the company at any time, but only within the classes, and to the extent, that the shares have been authorised by or in terms of the company's memorandum.

	2. If a company issues shares— that have not been authorised in accordance with section 96; or in excess of the number of authorised shares of any particular class, the issuance of those shares may be retroactively authorised in accordance with section 96.
Sec 99 - Subscription for additional shares in private companies	This section does not apply to a public company or State-owned company, except to the extent that the company's memorandum provides otherwise, and applies to a private company with respect to any issue of its shares, other than— i. shares issued in terms of options or conversion rights or ii. capitalisation shares issued as contemplated in section 137
Sec 102 - Solvency and liquidity test	A company satisfies the solvency and liquidity test at a particular time if, considering all reasonably foreseeable financial circumstances of the company at that time— (a) the assets of the company or, if the company is a member of a group of companies, the aggregate assets of the company, as fairly valued, equal or exceed the liabilities of the company or, if the company is a member of a group of companies, the aggregate liabilities of the company, as fairly valued; and (b) it appears that the company will be able to pay its debts as they become due in the ordinary course of business for a period of— twelve months after the date on which the test is applied; or In the case of a distribution twelve months following that distribution.
Sec 103-112 - Dating of prospectus	A prospectus issued by a company shall be dated and that date shall be taken as the date of publication of the prospectus.
Sec 114 - Restrictions on offering shares for subscription or sale	It is not lawful for any person to engage in the door-to-door solicitation of members of the public at their homes or in offices, shops or business premises, to subscribe for shares or debentures (however, the solicitation at the office or business premises of any person whose ordinary business or part of whose ordinary business it is to deal in shares or debentures, whether as principal or agent, is permitted) No person shall either verbally or in writing, including any newspaper advertisement— (a) make an offer of shares for sale to the public or any member of the public; or (b) invite offers from the public or any member of the public to purchase any shares;

	and no person shall issue, distribute or publish any material which in its form and context is calculated to be understood as an offer or invitation as aforesaid unless the offer, invitation or material is accompanied either by a prospectus complying with the COBE or by a written statement containing the particulars required by section 114 to be included therein.
Sec 123 - Financial assistance by company for purchase of its own or its holding company's shares	General: It is prohibited for a company to give financial assistance for the purchase of its own or its holding company's shares. **Unless:** ▪ Assistance is given in terms of a **special resolution** ▪ Immediately after assistance is given: FV of assets exceed its liabilities and the company is able to discharge its debts in the ordinary course of its business. *If provision breached directors can be held personally liable for any losses suffered through such actions.*
Sec 124 - Application of share premiums	1. If a company issues shares at a premium, whether for cash or otherwise, a sum equal to the aggregate amount or value of the premiums on those shares shall be transferred to an account called "the share premium account" and provisions of the COBE relating to the reduction of a company's share capital shall apply, except as provided in this section, as if the share premium account were part of its paid-up share capital. 2. A company may apply its share premium account— a. in paying up unissued shares to be allotted to its members, directors or employees, or to a trustee for such persons, as fully paid bonus shares or b. in writing off— i. the company's preliminary expenses; or ii. the expenses of, or the commission paid or discount allowed on, any issue of shares or debentures of the company or 3. in providing for the premium payable, if any, on redemption of any redeemable preference shares or of any debentures of the company.
Sec 125 - Power to issue shares at a discount	1. It is lawful for a company to issue shares at a discount in the company of a class already issued provided that (a) the issue of the shares at a discount must be authorised by special resolution of the company and must be sanctioned by the court (b) the special resolution must specify the maximum rate of discount at which the shares are to be issued

	(c) not less than one year must, at the date of the issue, have elapsed since the date on which the company was entitled to commence business (d) the shares to be issued at a discount must be issued within thirty days after the date on which the issue is sanctioned by the court or within such extended time as the court may allow.
Sec 126 - Power to issue redeemable shares	• A company may, if authorised by its articles, issue shares which are to be redeemed or which are liable to be redeemed at the option of the company or the shareholder concerned. • No redeemable shares shall be issued at a time when there are no issued shares of the company which are not redeemable. • Redeemable shares may not be redeemed unless they are fully paid, and the terms of redemption shall provide for payment on redemption.
Sec 127 - Financing at redemption	• Redeemable shares shall be redeemed only out of profits of the company which would otherwise be available for dividend or out of the proceeds of a fresh issue of shares made for the purposes of the redemption; and • any premium payable for redemption shall be paid out of profits of the company which would otherwise be available for dividend.
Sec 128 - Power of company to purchase own shares	A company may, if authorised by its articles, purchase its own shares, including any redeemable shares. This section shall be read with section 129 and 134 of the COBE
Sec 129 - Authority required by company to purchase its own shares	• A company shall not purchase its own shares unless the purchase has been authorised in advance by the company in a general meeting. • An authority granted by the company in a general meeting shall not be valid unless it specifies— ▪ the price, or the maximum and minimum prices, at which the shares may be acquired; and ▪ the maximum number of shares which may be acquired and the class thereof; and ▪ the date on which the authority will expire
Sec 132 - Disclosure by company of purchase of own shares	A company shall deliver to the Registrar within twenty-eight days a return in the prescribed form showing, with respect to each class of shares purchased (a) the number and nominal value of the shares; and

	(b) the date on which the shares were delivered to the company; and (c) the aggregate amount paid by the company for the shares; and (d) the maximum and minimum prices paid in respect of shares of each class purchased.
Sec 133 - Capital redemption reserve	1. Where shares of a company are redeemed or purchased wholly out of the company's profits, the amount by which the company's issued share capital is diminished on cancellation of the shares concerned shall be transferred to a reserve, called "the capital redemption reserve". 2. If shares are redeemed or purchased by a company wholly or partly out of the proceeds of a fresh issue and the aggregate amount of those proceeds is less than the nominal value of the shares redeemed or purchased, the amount of the difference shall be transferred to the capital redemption reserve
Sec 134 - Effect of failure by company to redeem or purchase shares	1. Where a company has a. issued shares on terms that they are liable to be redeemed; or b. agreed to purchase any of its own shares. The company shall not be liable in damages in respect of any failure on its part to redeem or purchase any of the shares, and no order for specific performance of the terms of redemption or purchase shall be made by any court, if the company shows that it is unable to meet the costs of redeeming or purchasing, as the case may be, the shares in question out of profits of the company that would otherwise be available for dividend.
Sec 136 - Reserve liability of company	A company may by special resolution determine that any portion of its share capital which has not been already called up shall not be capable of being called up, except in the event and for the purposes of the company being wound up or, in respect of a company placed under judicial management, with the sanction of the court, and thereupon that portion of its share capital shall not be capable of being called up except in the event and for the purposes mentioned.
Sec 137 - Capitalisation shares	Except to the extent that a company's memorandum of incorporation provides otherwise— (a) the board of that company, by resolution, may approve the issuing of any authorised shares of the company, as capitalisation shares, on a pro rata basis to the shareholders of one or more classes of shares

	(b) and shares of one class may be issued as a capitalisation share in respect of shares of another class.
Sec 138 - Distributions must be authorised by board	A company must not make any proposed distribution unless the distribution— (a) is pursuant to an existing legal obligation of the company, or a court order; or the board of the company, by resolution, has authorised the distribution; and (b) it reasonably appears that the company will satisfy the solvency and liquidity test immediately after completing the proposed distribution; and (c) the board of the company, by resolution, has acknowledged that it has applied the solvency and liquidity test, and reasonably concluded that the company will satisfy the solvency and liquidity test immediately after completing the proposed distribution.
Sec 139 - Existing shareholders' right of first refusal to new shares	Shareholders of a company shall have a pre-emptive right to acquire newly issued shares as provided in this section, for which purpose— (a) "shares" does not include options to acquire shares or non-share securities convertible into shares (b) the right shall be to acquire the newly issued shares pro rata in proportion to the number of shares already held by such existing shareholders, at a price no less favourable than that offered to other persons. The company shall give each existing shareholder advance notice of any proposed issuance stating, at a minimum, the number of shares to be issued, the proposed price or method of determining the price of issuance, and the time period and procedure for exercising the pre-emptive rights.
Sec 140 - Notice to Registrar of consolidation of share capital, conversion of shares into stock	1. If the company has a. consolidated and divided its share capital into shares of larger amount than its existing shares; or b. converted any shares into stock; or c. reconverted stock into shares; or d. subdivided its shares or any of them; or e. redeemed any redeemable preference shares; or f. cancelled any shares, otherwise than in connection with a reduction of share capital under section 96, the company shall, within one month after so doing, give notice thereof to the Registrar specifying the shares consolidated, divided, converted, subdivided, redeemed or cancelled or

	the stock reconverted and the Registrar shall register such shares.
Sec 144 - Special resolution for reduction of share capital	Subject to confirmation by the court, a company may, if so authorised by its articles, by special resolution reduce its share capital in any way without prejudice to the generality of the foregoing power, may— (a) extinguish or reduce the liability on any of its shares in respect of share capital not paid up; or (b) either with or without extinguishing or reducing liability on any of its shares, cancel any paid-up share capital which is lost or unrepresented by available assets; or (c) either with or without extinguishing or reducing liability on any of its shares, pay off any paid-up share capital which is in excess of the wants of the company; and may, amend its memorandum by reducing the amount of its share capital and of its shares accordingly.
Sec 150 - Numbering of shares	1. Each share in a company shall be distinguished by its appropriate number provided that if at any time all the issued shares in a company, or all the issued shares therein of a particular class, are fully paid up and rank on an equal footing for all purposes, none of those shares need thereafter have a distinguishing number so long as it remains fully paid up and ranks on an equal footing for all purposes with all shares of the same class for the time being issued and fully paid up.
Sec 167 - Annual general meeting (AGM)	1. AGM of a company must be held annually. 2. The agenda for an AGM shall include the following items amongst others (a) electing the members of the board of directors who are to be elected at that time (b) setting or approving the compensation of directors including emoluments, salaries and pensions
Sec 175 - Special resolutions	1. It is a resolution passed by a majority of at least ¾ of the eligible votes who are present 2. 21 days' notice period should have been given before passing of such resolution. 3. At least ¼ of the total votes of the company should be present for a special resolution to be passed, 4. All other resolutions at a general meeting shall be called ordinary resolutions

Sec 180 - Minutes of meetings of members	1. A record of each meeting of members shall be prepared not later than twenty (20) days after the meeting. 2. Meeting minutes should be signed by the chairperson and any secretary of the meeting who are responsible for the minutes completeness and accuracy. 3. If the Registrar becomes aware that a company has not been keeping minutes in accordance with this section the company shall be liable to a category 2 civil penalty
Sec 182 - Keeping of financial records	Every company shall keep financial records in the English language or any officially recognised language financial records to be kept with respect to— (a) all sums of money received and expended by the company and the matters in respect of which the receipt and expenditure (b) all sales and purchases of goods by the company (c) the assets and liabilities of the company
Sec 185 - Meaning of holding company, subsidiary and wholly owned subsidiary	1. A company is deemed to be a subsidiary of another company if that other either— (a) is a member of it and controls the composition of its board of directors or (b) holds more than half in nominal value of its equity share capital 2. A company shall be deemed to be the wholly owned subsidiary of another if it has no members except that other and that other's wholly-owned subsidiaries and its or their nominees. 3. A company shall be deemed to be another's holding company if that other is its subsidiary.
Sec 186 - Obligation to lay group accounts before holding company	1. Where at the end of its financial year a company has subsidiaries, accounts or statements, in this Act referred to as "group accounts", dealing as hereinafter mentioned with the state of affairs and comprehensive income of the company and the subsidiaries shall, subject to subsection (2), be laid before the company in general meeting when the company's own financial statements are so laid. 2. Notwithstanding anything in subsection (1)— a. group accounts shall not be required where the company is, at the end of its financial year, the wholly owned subsidiary of another company incorporated in Zimbabwe; b. group accounts need not deal with a subsidiary of the company if the company's directors are of the opinion that— i. it is impracticable, or would be of no real value to members of the company, in view of the insignificant

	amounts involved, or would entail expense or delay out of proportion to the value to members of the company; or ii. the result would be misleading or harmful to the business of the company or any of its subsidiaries; or iii. the business of the holding company and that of the subsidiary are so different that they cannot reasonably be treated as a single undertaking;
Sec 191 -Appointment, remuneration, duties, powers and removal of auditors	1. Auditor to be appointed by directors within one month of issuance of commencement of business certificate. 2. The company may remove an auditor at a general meeting and appoint another auditor who has been nominated by special notice. 3. Auditors are supposed to be re/appointed at each annual general meeting 4. Remuneration of auditors shall be fixed at the AGM 5. A **private company** shall not be required to appoint auditors if: - It has less than ten members and - None of the shareholders is a. Public company b. A pvt company owned by a public company and c. The company is not a subsidiary of a holding company which has itself appointed auditors and d. All the members agree that an auditor shall not be appointed e. No person shall serve as an auditor of a company for more than five consecutive financial years
Sec 192 - Disqualifications for appointment as auditor	1. None of the following persons shall be qualified for appointment as auditors of a company: a. An officer or servant of the company b. A person who is a partner of an officer or servant of the company c. A person who is an employer or an employee of an officer or servant of the company d. A body corporate e. A person who by himself or his partner performs the duties of secretary or bookkeeper of the company.
Sec 193 - Auditor's report	1. The auditor shall make a report on the accounts he examines as laid before him in the general meeting during his tenure of office, the report shall contain statements as to whether, in his or her opinion, the financial statements or, of a company submitting group accounts are properly drawn up in accordance with the COBE Act so as to give a true and fair view of the state of the company's affairs at the date of its

	financial statements for its financial year ended on that date;
Sec 195-197 -Directors and their functions and responsibilities	1. A private company with more than one but less than ten shareholders shall have two or more directors, a private company with more than ten shareholders shall have three or more directors, a public company shall have seven to fifteen directors. 2. At least one director shall be ordinarily resident in Zimbabwe. 3. Any director who is a company's chief executive officer shall not also be the chairperson of the board of that company 4. Each director shall exercise independent judgment and act in good faith, to promote the success of the company for the benefit of its shareholders as a whole
Sec 198 - Company secretary: functions, qualifications and disqualifications	1. Every company should have at least one secretary ordinarily resident in Zimbabwe. 2. The board of a public company shall appoint one or more secretaries, being a person or persons who are qualified in terms of subsection (4) to be the secretary of a public company, and who must not also hold another office as an officer of the company. 3. The functions of the secretary include the following amongst others a. acting as custodian of the company's records b. ensuring that notices of all shareholder, board and board committee meetings are given.
Sec 200 - Disqualification for appointment as director	1. The following persons shall be disqualified from being appointed a director of a public company— (a) a body corporate; or (b) a minor or any other person under legal disability; or (c) a person who is removed by the court from any office of trust on account of misconduct save with the leave of the court; or (d) a person who has at any time been convicted whether in Zimbabwe or elsewhere, of theft, fraud, forgery or perjury and has been sentenced therefore to serve a term of imprisonment without the option of a fine or to a fine exceeding level five.
Sec 202 - Removal and resignation of directors	1. One or more directors may be removed, with or without a stated reason or cause, at a general meeting by a majority of the votes of shares then entitled to vote at an election of directors 2. The removal of a director shall not in itself prejudice any right to compensation upon removal which the director may have under a contract with the company.

	3. A director may resign at any time by giving written notice, as far in advance as is practicable, to the board of directors or its chairperson.
Sec 203 - Vacancies on board of directors	1. A vacancy on a board of directors shall be filled by election at the next general meeting at which directors are to be elected, except that the company's articles of association provides otherwise.
Sec 204 - Quorum and vote required	A majority of the total number of directors shall constitute a quorum for decision making, unless a greater number for a quorum is specified in the articles of association
Sec 205 - Minutes of meeting of board and committees	Minutes shall be prepared promptly after the meeting, and shall be submitted to the board or committee at its next meeting for its review and adoption
Sec 206 - Independent directors required for public companies	• This section defines an independent non-executive director • A public company shall have at least three non–executive or independent directors on its board of directors.
Sec 207 - Shareholder approval of directors' emoluments	A company may pay reasonable emoluments to directors which may include shares or options for shares of the company. The emoluments of a director of a public company must be approved by the shareholders of that company at the annual general meeting.
Sec 208 - Prohibition of financial assistance to directors	Loans to directors are prohibited unless the funds are provided to • Reimburse expenditure to be incurred by the director in discharging company business. • The company is in the business of giving out such types of loans. • The company is a private company and at least 9/10 of the shareholders consent. (the company should not be a subsidiary company). • Purchase shares in the company (as read with sec 123).
Sec 209 - Approval of company requisite for payment by it to director for loss of office	• It is not lawful for a public company to pay a director for compensation of loss of office or retirement from office, without full particulars of the proposed payment, including the amount thereof being disclosed to members of the company and the proposal being approved by the company in a general meeting. • For private companies, the secretary shall file with the Registrar within thirty days in the event that a director has been paid for loss of office and furnishing all the particulars thereof.

Sec 218 - Board's role and responsibilities	The board of directors is responsible for decisions on all matters except those reserved to the shareholders by the COBE Act or by the company's constitutive documents. The board's responsibilities include for example (a) determining and directing overall business performance and strategy plans for the company and (b) ensuring that the financial records, financial statements and external audit are kept and maintained (c) the appointment, removal, compensation and performance of officers and oversight of management of the company and (d) the convening of and preparation of the initial agenda for shareholder meetings. (e) Payment dates for, and procedures in connection with, the payment of dividends and other distributions.
Sec 219 - Audit committee of public company	1. The Board of every public company shall appoint an audit committee consisting of at least three appointees, all of whom shall be independent directors, under no circumstances may the chairperson of the board be a member of the audit Committee. 2. The audit committee shall be responsible for a. the selection, remuneration, and terms of engagement of an external auditor, who, in its judgment, is independent of the company. b. proposing, for approval by the shareholders, the engagement of that auditor upon such remuneration and other terms as it has determined to be reasonable; and c. monitoring the independence of the company's external auditor amongst others
Sec 227 - Power to undertake mergers and major asset transactions	A private or public company or cooperative company may undertake and complete a merger at any time as provided by the Tariff and Competition Act [Chapter 14:20] or a major asset transaction.
Sec 250 - Conversion of private business corporation into company	A private business corporation that wishes to convert to a company shall deliver to the Registrar • an application in the prescribed form signed by all its members; and • all documents necessary for the formation of a company under the COBE Act.
Sec 251 - Conversion of company into private business corporation	Any company having not more than twenty members, all of whom qualify for membership of a private business corporation may apply for conversion to a private business corporation in terms of this section.

Sec 264 - Financial assistance by private business corporation for acquisition of members' interests	A private business corporation may, with the consent of all its members, give financial assistance for the acquisition of a member's interest in the private business corporation if, immediately after such assistance is given, the private business (a) corporation's assets, excluding any claim or security resulting from the giving of assistance, fairly valued, will exceed its liabilities and (b) it will be able to pay its debts as they become due in the ordinary course of its business
Sec 270 - Restriction on payments to members	A private business corporation shall not directly or indirectly pay any dividend, make any distribution, repay any contribution, make any other payment or transfer any property to any member by reason only of his or her membership unless, (a) immediately after the payment or transfer, the private business corporation's assets, fairly valued, will exceed its liabilities and (b) it will be able to pay its debts as they become due in the ordinary course of its business. A member shall repay any money and return any property he or she has received from the private business corporation, until he or she does so he or she shall be liable, jointly and severally with the private business corporation, for all its debts.
Sec 271 - Financial records	• Every private business corporation shall keep financial records in accordance with this section. The financial records shall present the state of affairs and business of the private business corporation and to explain the transactions and financial position of the private business corporation. • Every private business corporation shall preserve its financial records for six years from the end of the financial year to which they relate.
Sec 275 - Duties of an accounting officer	An accounting officer to whom the annual financial statements of a private business corporation have been submitted shall without delay— (a) determine whether the annual financial statements are in agreement with the financial records of the private business corporation and (b) review the appropriateness of the accounting policies applied in the preparation of the annual financial statements amongst others.

10. Question on the Companies and other business entities Act

Mazhanje Chartered Accountants (Mazhanje), a medium sized firm of registered auditors operating from their only office in Harare, have recently been appointed the auditors of CashMoney (Private) Limited (CashMoney). CashMoney is a company listed on the Zimbabwe Stock Exchange and has been trading for the past 22 years. The company operates various restaurants in the cities of Harare, Gweru, Mutare and Bulawayo and has a 31 December year end. CashMoney's strategy has been to offer fast food outlets targeting the low income earners as well as the high income earners.

You are an audit manager within Mazhanje's audit and assurance department and have been appointed to be the audit manager on the CashMoney audit for the 31 December 2020 year end. Mazhanje was appointed to the audit of CashMoney by Mike Morningstar the CEO of CashMoney on the 5th of January 2021. The appointment came after Mike failed to reach an agreement with their incumbent auditors TKF Chartered Accountants for the reduction of audit fees. However, after meeting Paul Masi CA (Z) a partner in Mazhanje, Mike was convinced that Mazhanje would charge a competitive fee as compared to the current fees that CashMoney was being charged by TKF.

The CashMoney audit was a major win for the firm as this would be the first time that Mazhanje will be auditing a listed company and the partnership believed that this was an indication of greater things to come for the firm. Mike indicated to Paul that he would want the audit finalised as soon as possible as they were looking to approach their shareholders to raise additional capital through a rights issue to fund some capital projects. After preliminary discussions with the Paul, the engagement partner on the CashMoney audit you were provided with the following working papers:

WP 201: CashMoney Background information

WP 202: Developments during the current year

Entity name:	CashMoney (Private) Limited	Year End	31 December 2020	WP 201
Prepared By	T. Harvey	Date:	14 January 2021	
Reviewed by				
Audit section	Client Investigation – Background Information			

Background Information

Mike Morningstar started CashMoney (Private) Limited in the early 90's operating a single restaurant in Harare city centre and over the years the business has expanded and to date the company operates and owns 30 outlets across the cities of Harare, Gweru, Mutare and Bulawayo. Given the continued growth of the company, Mike was convinced to list CashMoney on the Zimbabwe Stock Exchange in 2009 soon after the adoption of the multi-currency system in Zimbabwe. Mike, through his investment company Morningstar

(Private) Limited, retained a shareholding of 40% when the company was listed and the balance of the shares are held by various institutional shareholders as well as other individual shareholders. The CashMoney Restaurants are operated under the brand name Cup & Coffee and the brand has become highly regarded in the Zimbabwean market. You found the following information on the company's website:

Cup & Coffee is a coffee themed restaurant chain focused mainly on the Zimbabwean shopping market: it is essentially a "shoppers shop". Cup & Coffee provides the highest standard of coffee and associated hot beverages in addition to a great selection of food items, from various breakfast options to lunches and dinners. Cup & Coffee has won the Caxton Leisure Options "Best Coffee Bar" category for 10 years in a row.

Over the past 2 years CashMoney (Private) Limited has been seeing its operating margins shrink due to increasing competition from low cost restaurants opening in the markets that CashMoney operates in. The continued economic difficulties that the country has been facing over the past year have also put further strain on CashMoney's margins.

Entity name:	CashMoney (Private) Limited	Year End	31 December 2020	WP 202
Prepared By	E. Gatsi	Date:	23 January 2021	
Reviewed by				
Audit section	Developments during the current year			

You were provided with the following extract of minutes of the annual board of directors meeting held on the 15th of June 2020:

Present:
Mike Morningstar – CEO and Chairman
Takura Gaso – Chief Finance Officer
Honey Coopers – Operations director
Noel Bata – Independent Non-Executive director
Solomon Moyo – Independent Non-Executive director
Loice Katikati – Non - Executive director
Ackson Bobo – Chief Internal Audit Executive

Apologies: None

The following matters were discussed during the board meeting.

1. **Approval of directors remuneration**
   During the meeting, the board passed a resolution to grant all board members share options which are immediately exercisable, for the purchase of CashMoney (Private) Limited share. The grant date for the share options as agreed by the board was 1 July 2020. Some of the directors indicated that they do not have sufficient funds to enable

them to exercise their share options, the board therefore passed another resolution for the granting of loans by CashMoney to these affected directors. As Mike explained in the meeting the reasoning behind these options was to encourage directors to act in the best interest of the company since they would also now have a financial interest in the company.

2. **Rights Issue**
   Mike informed the board meeting that the company was looking to undergo a refurbishment exercise of all their restaurants. In order to finance the exercise Mike proposed that the company raise the money through a rights issue as in the past some of the company's members have indicated that they do not want their shareholding to be diluted. After lengthy deliberations on the pros and cons of a rights issue the board finally passed a resolution authorizing the rights issues as proposed by Mike.

3. **Report from the audit committee**
   Takura Gaso the chairman of the audit committee informed the board that the audited financial statements for the December 2019 year-end had been finalised and have already been filed with the Zimbabwe Stock Exchange. The board was also informed that audit committee was scheduling to have their annual meeting on the 30th of September 2020.

4. **Report from the Chief Internal Audit executive**
   The chief internal audit executive reported that the internal audit department have recently finished an exercise to evaluate controls over the company's procurement cycle. The exercise was completed and finalised in March where the report from the exercise was presented to Takura for follow up on issues identified. Ackson also had a meeting in February 2020 with Mike where he presented his annual internal audit plan for 2020.

5. **Refurbishment exercise**
   In the meeting the board of directors resolved to award the contract for the refurbishment exercise to Takemore (Private) Limited a company owned by Solomon Moyo. In the meeting it was discussed that Takemore (Private) Limited has never handled a contract of this size before, however the board went on ahead with awarding the contract to the company after getting assurance from Solomon that his company will be able to handle the job. All the directors present at the meeting voted in favour of awarding the contract to Takemore (Private) Limited.

There being no other business the meeting was adjourned at 17:00 hours.

Required

Using the information contained in working paper 202, identify and discuss in detail the statutory concerns relating to CashMoney (Private) Limited for the year ended 31 December 2020. Limit your answer to the requirements of the Companies and Other Business Enities Act Chapter 24:31.	**5 marks**

CAA CTA Part-time Test 2 2016 Adapted

Solution

Loans to purchase shares in CashMoney – sec 123 • It is prohibited for a company to give financial assistance for the purchase of its own shares. **(1)** • Some of the non-executive directors were awarded loans to exercise their share options but there is no evidence that there was a special resolution passed by the members of CashMoney authorizing the transaction as required by sect 123**. (1)** • Also, there is no evidence that the directors considered whether immediately after awarding the loans to the directors the FV of assets exceeded their liabilities**. (1)**	**3**
Removal of auditors – Sec 191 • It appears that no special notice was passed at CashMoney's general meeting for the removal of the predecessor auditors as required by sec 191.	**1**
Director's interest in a contract – sect 56 and 57 • Solomon has a direct interest in the contract awarded to Takemore (Private) Limited, he should therefore not have voted on the matter to award the contract to the company he owns, as required in terms of section 56 and 57.	**1**
Total marks	**5**